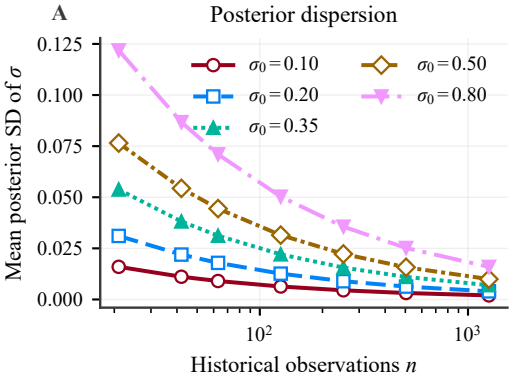
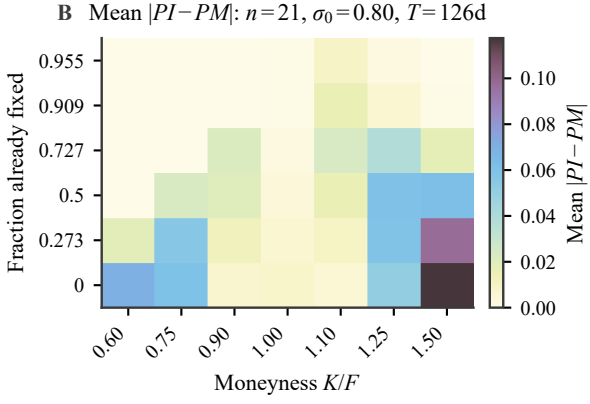
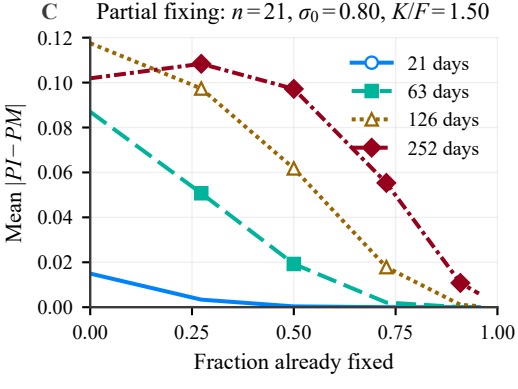
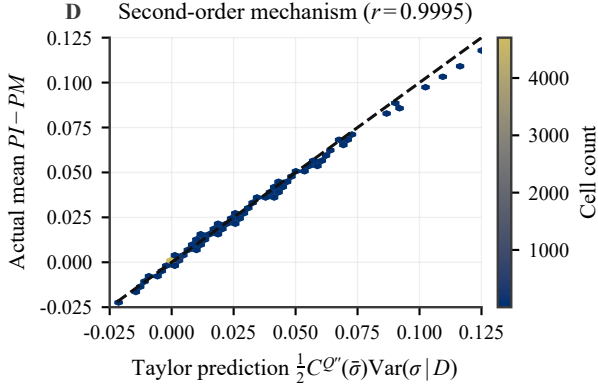

A
Posterior dispersion
Mean posterior SD of σ
0.125
0.100
0.075
0.050
0.025
0.000
σ0 = 0.10
σ0 = 0.20
σ0 = 0.35
σ0 = 0.50
σ0 = 0.80
10^2
10^3
Historical observations n


B
Mean |PI − PM|: n = 21, σ0 = 0.80, T = 126d
Fraction already fixed
0.955
0.909
0.727
0.5
0.273
0
0.60
0.75
0.90
1.00
1.10
1.25
1.50
Moneyness K/F
Mean |PI − PM|
0.10
0.08
0.06
0.04
0.02
0.00


C
Partial fixing: n = 21, σ0 = 0.80, K/F = 1.50
Mean |PI − PM|
0.12
0.10
0.08
0.06
0.04
0.02
0.00
21 days
63 days
126 days
252 days
0.00
0.25
0.50
0.75
1.00
Fraction already fixed


D
Second-order mechanism (r = 0.9995)
Actual mean PI − PM
0.125
0.100
0.075
0.050
0.025
0.000
-0.025
-0.025
0.000
0.025
0.050
0.075
0.100
0.125
Taylor prediction ½C^Q″(σ̄)Var(σ | D)
Cell count
4000
3000
2000
1000